Chapter 07: Trade Policies for the Developing Nations

1. Which of the following is NOT a major factor that encourages developing nations to form international commodity agreements?

a. inelastic commodity supply schedules
b. inelastic commodity demand schedules
c. export markets that tend to be unstable
d. worsening commodity terms of trade

ANSWER: d

FEEDBACK:

a.
b.
c.
d. Developing nations complain that their commodity terms of trade have deteriorated, suggesting that the prices of their exports relative to their imports have fallen.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Trade Problems of the Developing Nations
KEYWORDS: BLOOM'S: Remember

2. International commodity agreements do NOT

a. consist of consuming and producing nations who desire market stability.
b. levy export cutbacks to offset rising commodity prices.
c. utilize buffer stocks to generate commodity price stability.
d. increase the supply of commodities to prevent rising prices.

ANSWER: b

FEEDBACK:

a.
b. International commodity agreements have been formed to stabilize the prices and revenues of producers of primary products. The methods used to attain this stability are buffer stocks, export controls, and multilateral contracts.
c.
d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Stabilizing Primary Product Prices
KEYWORDS: BLOOM'S: Understand

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3. Concerning the price elasticities of supply and demand for commodities, empirical estimates suggest that most commodities have

a. inelastic supply and demand schedules.

b. inelastic supply schedules and elastic demand schedules.

c. elastic supply schedules and inelastic demand schedules.

d. elastic supply schedules and elastic demand schedules.

ANSWER: a

FEEDBACK:

a. Economists maintain that a key factor underlying the instability of primary-product prices and producer revenues is the low price elasticity of the demand and supply schedules for commodities.

b.

c.

d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Trade Problems of the Developing Nations
KEYWORDS: BLOOM'S: Understand

4. If the demand schedule for bauxite is relatively inelastic to price changes, an increase in the supply schedule of bauxite will cause a

a. decrease in price and a decrease in sales revenue.

b. decrease in price and an increase in sales revenue.

c. increase in price and a decrease in sales revenue.

d. increase in price and an increase in sales revenue.

ANSWER: a

FEEDBACK:

a. When the demand for a commodity is highly price inelastic, increases in supply will generate a decrease in price and a decrease in sales revenue.

b.

c.

d.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Trade Problems of the Developing Nations
KEYWORDS: BLOOM'S: Apply

5. A primary goal of international commodity agreements has been the

a. maximization of members' revenues via export taxes.

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b. nationalization of corporations operating in member nations.
c. adoption of tariff protection against industrialized nation sellers.
d. moderation of commodity price fluctuations when markets are unstable.

ANSWER: d

FEEDBACK:
a.
b.
c.
d. In an attempt to stabilize export prices and revenues of primary products, developing nations have formed international commodity agreements (ICAs). These agreements are between leading producing and consuming nations of commodities about matters such as stabilizing prices and export revenues, ensuring adequate supplies to consumers, and promoting the economic development of producers.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Stabilizing Primary-Product Prices
KEYWORDS: BLOOM'S: Understand

6. Which device did the International Tin Agreement use to stabilize tin prices?
a. multilateral contracts
b. export subsidies
c. buffer stocks
d. export tariffs

ANSWER: c

FEEDBACK:
a.
b.
c. The International Tin Agreement utilized buffer stocks to stabilize tin prices.
d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Stabilizing Primary-Product Prices
KEYWORDS: BLOOM'S: Remember

7. Which method has NOT generally been used by international commodity agreements to stabilize commodity prices?
a. production quotas applied to the level of commodity output
b. buffer stock arrangements among producing nations

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c. export restrictions applied to international sales of commodities
d. measures to nationalize foreign-owned production operations

ANSWER: d

FEEDBACK:
a.
b.
c.
d. International commodity agreements have been formed to stabilize the prices and revenues of producers of primary products. The methods used to attain this stability are buffer stocks, export controls, and multilateral contracts.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Stabilizing Primary-Product Prices
KEYWORDS: BLOOM'S: Understand

8. During the 1970s, the nations in the Organization of Petroleum Exporting Countries (OPEC) manifested their market power by utilizing
a. export tariffs levied for revenue purposes.
b. export tariffs levied for protective purposes.
c. import tariffs levied for protective purposes.
d. import tariffs levied for revenue purposes.

ANSWER: a

FEEDBACK:
a. During the 1970s, the nations in OPEC manifested their market power by utilizing export tariffs levied for revenue purposes.
b.
c.
d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The OPEC Oil Cartel
KEYWORDS: BLOOM'S: Remember

9. An obstacle that can arise in forming a cartel is that
a. the demand for commodities tends to be price inelastic.
b. substitute products exist for many commodities.
c. commodity produces have dominated world markets.
d. the production of most commodities is capital intensive.

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ANSWER: b

FEEDBACK:

a.

b. The price-making ability of a cartel is weakened when buyers can substitute other goods (coal and natural gas) for the good that it produces (oil).

c.

d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The OPEC Oil Cartel
KEYWORDS: BLOOM'S: Understand

10. Which device has been used by the International Wheat Agreement to stipulate the minimum prices at which importers will buy stipulated quantities from producers and the maximum prices at which producers will sell stipulated quantities to importers?

a. buffer stocks
b. export controls
c. multilateral contracts
d. production controls

ANSWER: c

FEEDBACK:

a.

b.

c. The International Wheat Agreement utilized multilateral contracts.

d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Stabilizing Primary-Product Prices
KEYWORDS: BLOOM'S: Remember

11. If the countries that export bauxite form a cartel to boost the price of bauxite in order to increase sales revenue, then they believe that the demand for bauxite

a. is inelastic with respect to price changes.
b. is elastic with respect to price changes.
c. will increase in response to a price increase.
d. will not change in response to a price change.

ANSWER: a

FEEDBACK:

a. When the demand for a commodity is highly price inelastic, decreases in supply

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by the cartel will generate an increase in price.

b.

c.

d.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Trade Problems of the Developing Nations
KEYWORDS: BLOOM'S: Apply

12. If the supply schedule for tin is relatively inelastic to price changes, a decrease in the demand schedule for tin will cause a

a. decrease in price and an increase in sales revenue.

b. decrease in price and a decrease in sales revenue.

c. increase in price and an increase in sales revenue.

d. increase in price and a decrease in sales revenue.

ANSWER: b
FEEDBACK:

a.

b. When the supply of a commodity is highly price inelastic, decreases (or increases) in demand will generate a decrease in price and a decrease in sales revenue.

c.

d.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Trade Problems of the Developing Nations
KEYWORDS: BLOOM'S: Understand

13. Which of the following could partially explain why the terms of trade of developing countries might deteriorate over time?

a. Developing-country exports mainly consist of manufactured goods.

b. Developing-country imports mainly consist of primary products.

c. Commodity export prices are determined in highly competitive markets.

d. Commodity export prices are solely determined by developing countries.

ANSWER: c
FEEDBACK:

a.

b.

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c. Observers contend that the export prices of primary products of developing nations are determined in competitive markets. These prices fluctuate downward as well as upward. This could partially explain why the terms of trade of developing countries might deteriorate over time.

d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Trade Problems of the Developing Nations
KEYWORDS: BLOOM'S: Understand

14. Which terms-of-trade concept emphasizes a nation's capacity to import?

a. income terms of trade
b. commodity terms of trade
c. barter terms of trade
d. price terms of trade

ANSWER: a
FEEDBACK:

a. Developing nations maintain that market forces cause the prices they pay for imports to rise faster than the prices commanded by their exports, resulting in a deterioration in their commodity terms of trade. As income rises, people tend to spend more on manufactured goods than on primary goods, thus contributing to a worsening in the developing nations' terms of trade.

b.

c.

d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Trade Problems of the Developing Nations
KEYWORDS: BLOOM'S: Understand

15. Which trade strategy have developing countries used to restrict imports of manufactured goods so that the domestic market is preserved for home producers, who thus can take over markets already established in the country?

a. international commodity agreement
b. export promotion
c. multilateral contract
d. import substitution

ANSWER: d
FEEDBACK:

a.

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b.

c.

d. Import substitution involves extensive use of trade barriers to protect domestic industries from import competition. The strategy is inward oriented in that trade and industrial incentives favor production for the domestic market over the export market.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Economic Growth Strategies: Import Substitution versus Export-Led Growth
KEYWORDS: BLOOM'S: Remember

16. Which trade strategy have developing countries used to replace commodity exports with exports such as manufactured goods?

a. multilateral contract
b. buffer stock
c. export-oriented
d. export quota

ANSWER: c
FEEDBACK:

a.

b.

c. Export promotion, or an export-oriented policy, links the domestic economy to the world economy. Instead of pursuing growth through the protection of domestic industries suffering comparative disadvantage, the strategy involves promoting growth through the export of manufactured goods.

d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Economic Growth Strategies: Import Substitution versus Export-Led Growth
KEYWORDS: BLOOM'S: Remember

17. To help developing countries expand their industrial base, some industrial countries have reduced tariffs on designated manufactured imports from developing countries below the levels applied to imports from industrial countries. This scheme is referred to as

a. generalized system of preferences.
b. export-led growth.
c. international commodity agreement.
d. reciprocal trade agreement.

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ANSWER: a

FEEDBACK:

a. Some industrial countries have extended nonreciprocal tariff preferences to exports of developing nations. Under this generalized system of preferences (GSP), major advanced nations temporarily reduce tariffs on designated manufactured imports from developing nations below the levels applied to imports from other advanced nations.

b.

c.

d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Aiding the Developing Nations
KEYWORDS: BLOOM'S: Remember

18. Which nation accounts for the largest amount of OPEC's oil reserves and production?
a. Iran
b. Libya
c. Iraq
d. Saudi Arabia

ANSWER: d

FEEDBACK:

a.

b.

c.

d. Saudi Arabia owns the world’s largest reserves and has the lowest production costs.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The OPEC Oil Cartel
KEYWORDS: BLOOM'S: Remember

19. Assuming identical cost and demand curves, OPEC as a cartel will, in comparison to a competitive industry,
a. produce greater output and charge a lower price.
b. produce greater output and charge a higher price.
c. produce less output and charge a higher price.
d. produce less output and charge a lower price.

ANSWER: c

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FEEDBACK:
a.
b.
c. A cartel behaves like a profit-maximizing monopolist and will produce less output and charge a higher price.
d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The OPEC Oil Cartel
KEYWORDS: BLOOM'S: Understand

20. Which situation reduces the likelihood of successful operation of a cartel?
a. Cartel sales experience a rapid expansion.
b. The demand for cartel output is price inelastic.
c. The number of firms in the cartel is large.
d. It is very difficult for new firms to enter the market.

ANSWER: c
FEEDBACK:
a.
b.
c. Generally speaking, the larger the number of sellers, the more difficult it is to form a successful cartel. Coordination of price and output policies among three sellers that dominate the market is more easily achieved than when there are 10 sellers each having 10 percent of the market.
d.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The OPEC Oil Cartel
KEYWORDS: BLOOM'S: Understand

21. Which industrialization policy used by developing countries emphasizes the comparative advantage principle as a guide to resource allocation?
a. export promotion
b. import substitution
c. international commodity agreements
d. multilateral contract

ANSWER: a
FEEDBACK:
a. The East Asian economies use an industrialization policy of outward orientation and export promotion.

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b.

c.

d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: East Asian Economies
KEYWORDS: BLOOM'S: Remember

22. A widely used indicator to differentiate developed countries from developing countries is
a. international trade per capita.
b. real income per capita.
c. unemployment per capita.
d. calories per capita.

ANSWER: b
FEEDBACK:
a.
b. It is a commonly accepted practice to array all nations according to real income per capita and then draw a dividing line between the advanced and developing ones.
c.
d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Developing Nation Trade Characteristics
KEYWORDS: BLOOM'S: Understand

23. Concerning the hypothesis that the developing countries' terms of trade have been deteriorating, empirical studies provide
a. mixed evidence that does not substantiate the deterioration hypothesis.
b. overwhelming support for the deterioration hypothesis.
c. overwhelming opposition to the deterioration hypothesis.
d. mixed evidence that substantiates the deterioration hypothesis.

ANSWER: a
FEEDBACK:
a. The developing nations' assertion of worsening commodity terms of trade was supported by a United Nations (UN) study in 1949. Because of inadequacies in data and the problems of constructing price indexes, the UN study was hardly conclusive. Other studies led to opposite conclusions about terms-of-trade movements.

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b.

c.

d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Trade Problems of the Developing Nations
KEYWORDS: BLOOM'S: Understand

24. For the oil-importing countries, the increases in oil prices in 1973-1974 and 1979-1980 resulted in all of the following, except

a. balance-of-trade deficits.
b. price inflation.
c. constrained economic growth.
d. improving terms of trade.

ANSWER: d
FEEDBACK:

a.

b.

c.

d. The increases in oil prices in 1973-1974 and 1979-1980 resulted in balance-of-trade deficits, price inflation, and constrained economic growth.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The OPEC Oil Cartel
KEYWORDS: BLOOM'S: Remember

25. Hong Kong and South Korea are examples of developing nations that have recently pursued the industrialization policy of

a. import substitution.
b. export promotion.
c. commercial dumping.
d. multilateral contract.

ANSWER: b
FEEDBACK:

a.

b. Hong Kong and South Korea pursue an industrialization policy of outward orientation and export promotion.

c.

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d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: East Asian Economies
KEYWORDS: BLOOM'S: Remember

26. Stabilizing commodity prices around long-term trends tends to benefit importers at the expense of exporters in markets characterized by

a. demand-side disturbances.
b. supply-side disturbances.
c. demand-side and supply-side disturbances.
d. no disturbances.

ANSWER: a
FEEDBACK:

a. Stabilizing commodity prices around long-term trends tends to benefit importers at the expense of exporters in markets characterized by demand-side disturbances.
b.
c.
d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Stabilizing Primary-Product Prices
KEYWORDS: BLOOM'S: Understand

27. Stabilizing commodity prices around long-term trends tends to benefit exporters at the expense of importers in markets characterized by

a. demand-side disturbances.
b. supply-side disturbances.
c. demand-side and supply-side disturbances.
d. no disturbance.

ANSWER: b
FEEDBACK:

a.
b. Stabilizing commodity prices around long-term trends tends to benefit exporters at the expense of importers in markets characterized by supply-side disturbances.
c.

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d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Stabilizing Primary-Product Prices
KEYWORDS: BLOOM'S: Understand

28. To be considered a good candidate for an export cartel, a commodity should
a. be a manufactured good.
b. be a primary product.
c. have a high price elasticity of supply.
d. have a low price elasticity of demand.

ANSWER: d
FEEDBACK:
a.
b.
c.
d. To be considered a good candidate for an export cartel, a commodity should have a low price elasticity of demand.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The OPEC Oil Cartel
KEYWORDS: BLOOM'S: Understand

29. To be considered a good candidate for an export cartel, a commodity should
a. be a manufactured good.
b. be a primary product.
c. have a low price elasticity of supply.
d. have a high price elasticity of demand.

ANSWER: c
FEEDBACK:
a.
b.
c. To be considered a good candidate for an export cartel, a commodity should have a low price elasticity of supply.
d.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice

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HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The OPEC Oil Cartel
KEYWORDS: BLOOM'S: Understand

30. To help developing nations strengthen their international competitiveness, many industrial nations have granted nonreciprocal tariff reductions to developing nations under the

a. international commodity agreements program.
b. multilateral contract program.
c. generalized system of preferences program.
d. export-led growth program.

ANSWER: c
FEEDBACK:
a.
b.
c. Many advanced nations have extended nonreciprocal tariff preferences to exports of developing nations. Under the generalized system of preferences (GSP), major advanced nations temporarily reduce tariffs on designated manufactured imports from developing nations below the levels applied to imports from other advanced nations.
d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Aiding the Developing Nations
KEYWORDS: BLOOM'S: Remember

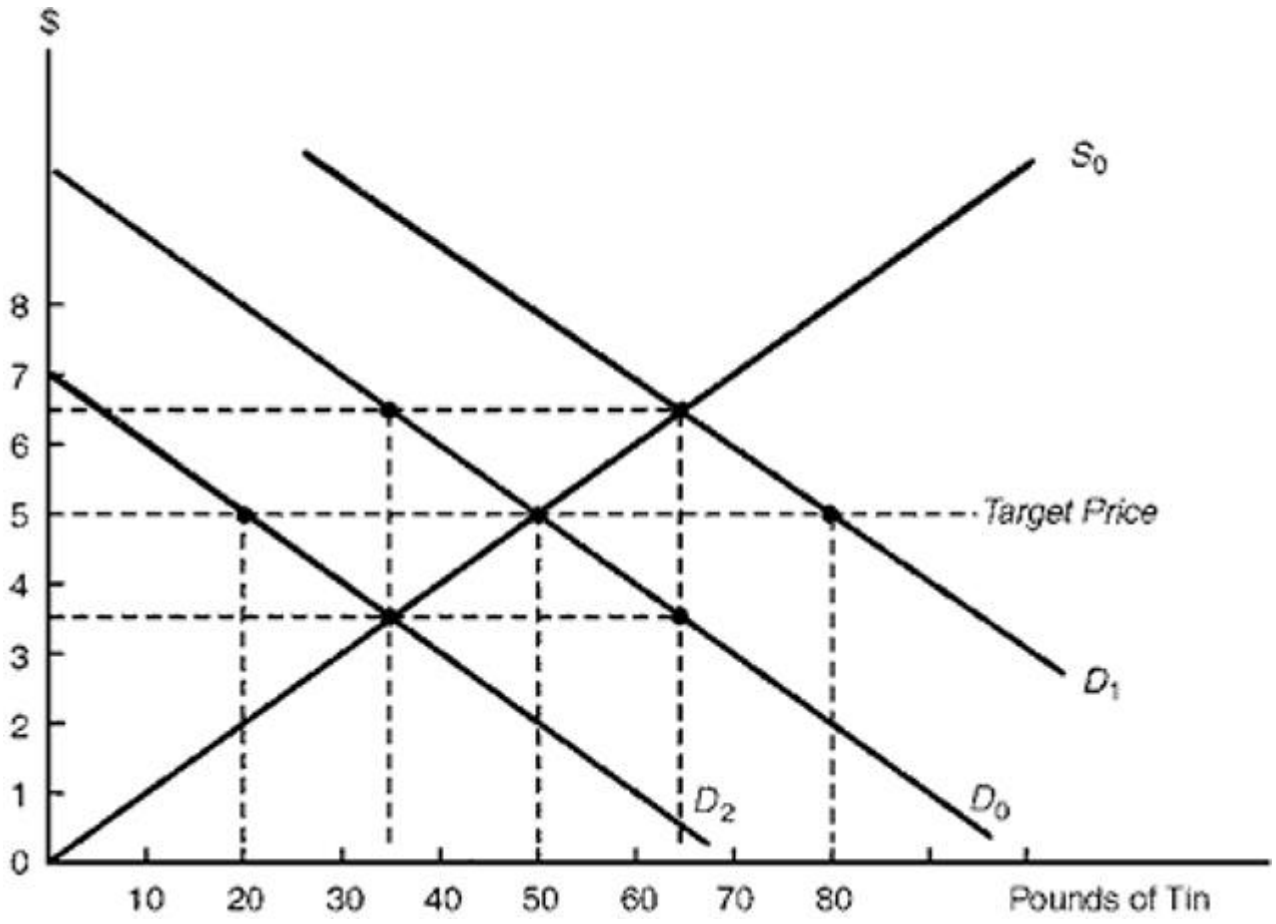
The diagram below illustrates the international tin market. Assume that producing and consuming countries establish an international commodity agreement under which the target price of tin is $5 per pound.

Figure 7.1. Defending the Target Price in Face of Changing Demand Conditions

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31. Consider Figure 7.1. Suppose the demand for tin increases from D_0 to D_1. Under a buffer stock system, the buffer-stock manager could maintain the target price by

a. selling 15 pounds of tin.
b. selling 30 pounds of tin.
c. buying 15 pounds of tin.
d. buying 30 pounds of tin.

ANSWER: b

FEEDBACK:

a.
b. During periods of rising tin demand, the buffer stock manager could maintain the target price by selling 30 pounds of tin to prevent the price from rising above the ceiling level.
c.
d.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 7.1
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: Stabilizing Primary-Product Prices
KEYWORDS: BLOOM'S: Analyze

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32. Consider Figure 7.1. Suppose the demand for tin decreases from D_0 to D_2. Under a buffer stock system, the buffer-stock manager could maintain the target price by

a. selling 15 pounds of tin.
b. selling 30 pounds of tin.
c. buying 15 pounds of tin.
d. buying 30 pounds of tin.

ANSWER: d
FEEDBACK:
a.
b.
c.
d. During periods of declining tin demand, the buffer stock manager could maintain the target price by buying 30 pounds of tin to prevent the price from falling below the floor level.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 7.1
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: Stabilizing Primary-Product Prices
KEYWORDS: BLOOM'S: Analyze

33. Consider Figure 7.1. Suppose the demand for tin decreases from D_0 to D_2. Under a system of export quotas, the tin producers could maintain the target price by

a. increasing the quantity of tin supplied by 15 pounds.
b. increasing the quantity of tin supplied by 30 pounds.
c. decreasing the quantity of tin supplied by 15 pounds.
d. decreasing the quantity of tin supplied by 30 pounds.

ANSWER: d
FEEDBACK:
a.
b.
c.
d. Under a system of export quotas, the tin producers could maintain the target price by decreasing the quantity of tin supplied by 30 pounds.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 7.1
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs

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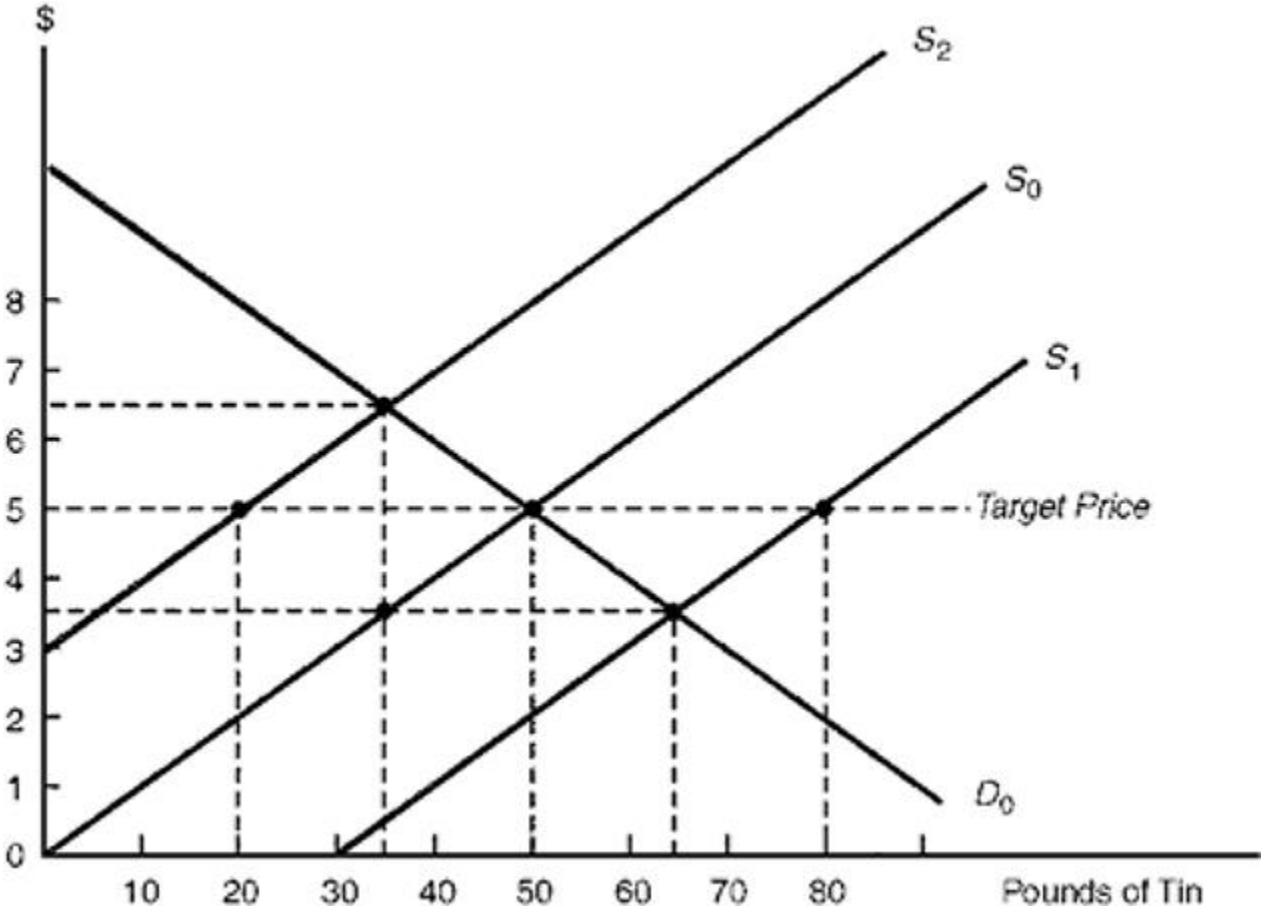
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TOPICS: Stabilizing Primary-Product Prices
KEYWORDS: BLOOM'S: Analyze

The diagram below illustrates the international tin market. Assume that the producing and consuming countries establish an international commodity agreement under which the target price of tin is $5 per pound.

Figure 7.2. Defending the Target Price in Face of Changing Supply Conditions



34. Consider Figure 7.2. Suppose the supply of tin increases from S_0 to S_1. Under a buffer-stock system, the buffer-stock manager could maintain the target price by

a. purchasing 15 pounds of tin.
b. purchasing 30 pounds of tin.
c. selling 15 pounds of tin.
d. selling 30 pounds of tin.

ANSWER: b
FEEDBACK:
a.
b. Under a buffer-stock system, the buffer-stock manager could maintain the target price by purchasing 30 pounds of tin.
c.
d.
POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice

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HAS VARIABLES: False
PREFACE NAME: Figure 7.2
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: Stabilizing Primary-Product Prices
KEYWORDS: BLOOM'S: Analyze

35. Consider Figure 7.2. Suppose the supply of tin decreases from S_0 to S_2. Under a buffer-stock system, the buffer-stock manager could maintain the target price by

a. purchasing 15 pounds of tin.
b. purchasing 30 pounds of tin.
c. selling 15 pounds of tin.
d. selling 30 pounds of tin.

ANSWER: d
FEEDBACK:
a.
b.
c.
d. Under a buffer-stock system, the buffer-stock manager could maintain the target price by selling 30 pounds of tin.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 7.2
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: Stabilizing Primary-Product Prices
KEYWORDS: BLOOM'S: Analyze

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36. Consider Figure 7.2. Assume there exists a cartel of several producers that is maximizing total profit. If one producer cheats on the cartel agreement by decreasing its price and increasing its output, then the rational action of the other producers is to

a. increase their price in order to regain sacrificed profits.
b. decrease their price as well.
c. continue selling at the agreed-upon price.
d. give the product away for free.

ANSWER: b
FEEDBACK:
a.
b. Each supplier has the incentive to sell more than its assigned quota at the cartel price. If one producer cheats on the cartel agreement by decreasing its price and increasing its output, then the rational action of the other producers is to decrease their price as well. But if all cartel members sell more than their quotas, the cartel price will fall toward the competitive level and profits will vanish.

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c.

d.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 7.2
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: The OPEC Oil Cartel
KEYWORDS: BLOOM'S: Analyze

37. A reason why it is difficult for producers to maintain a cartel is that
a. the elasticity of demand for the cartel's output decreases over time.
b. producers in the cartel have the economic incentive to cheat.
c. economic profits discourage other producers from entering the industry.
d. producers in the cartel have the motivation to lower, but not raise, price.

ANSWER: b
FEEDBACK:

a.

b. Each supplier has the incentive to sell more than its assigned quota at the cartel price. If one producer cheats on the cartel agreement by decreasing its price and increasing its output, then the rational action of the other producers is to decrease their price as well. But if all cartel members sell more than their quotas, the cartel price will fall toward the competitive level and profits will vanish.

c.

d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 7.2
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The OPEC Oil Cartel
KEYWORDS: BLOOM'S: Understand

38. Once a cartel establishes its profit-maximizing price,
a. entry into the industry of new competitors will not affect the cartel's profits.
b. output changes by cartel members have no effect on the market price.
c. each cartel member is tempted to cheat on the cartel price in order to add to its profit.
d. all cartel members have a strong incentive to adhere to the agreed-upon price.

ANSWER: c
FEEDBACK:

a.

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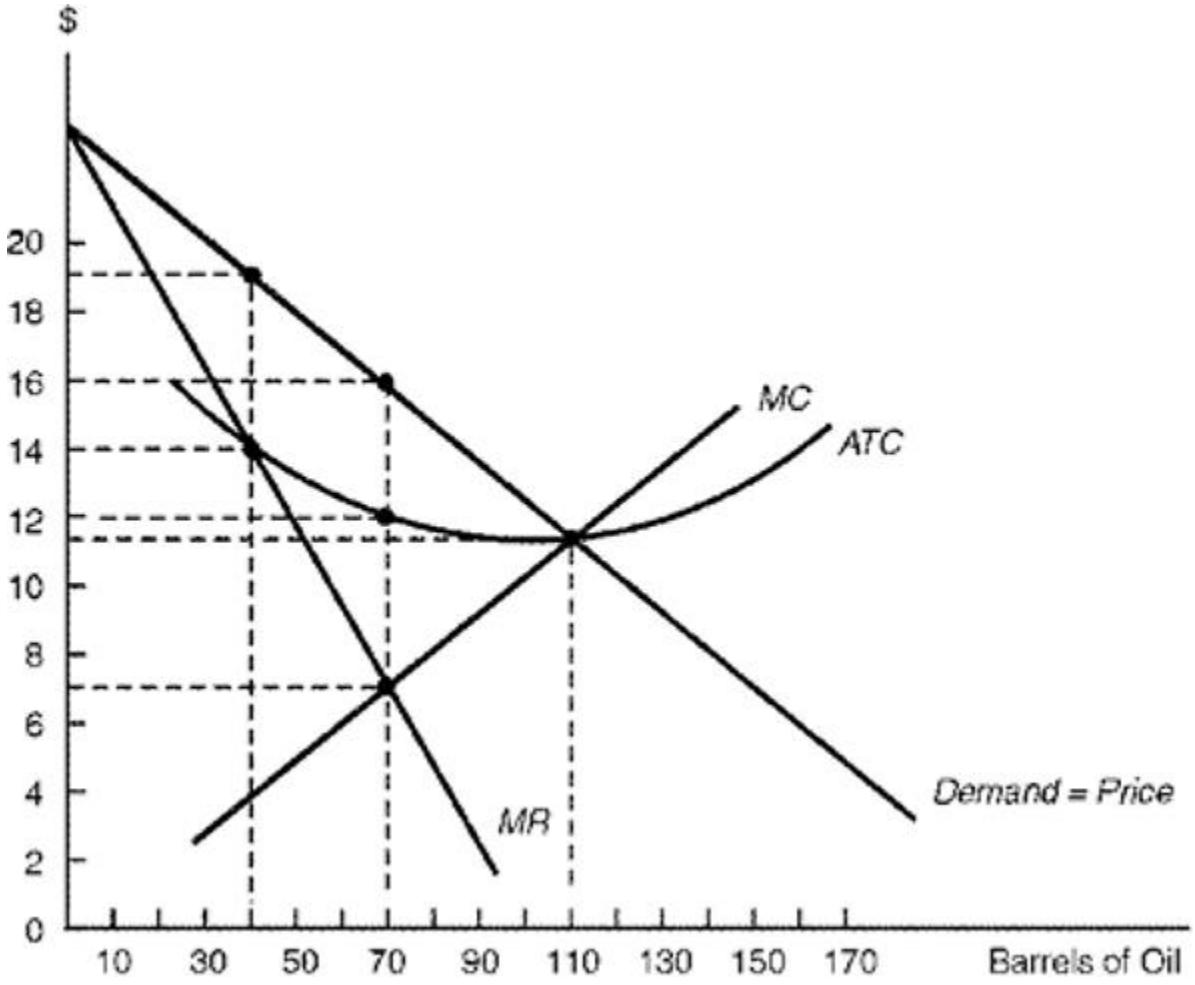
b.

c. Each supplier has the incentive to sell more than its assigned quota at the cartel price. If one producer cheats on the cartel agreement by decreasing its price and increasing its output, then the rational action of the other producers is to decrease their price as well. But if all cartel members sell more than their quotas, the cartel price will fall toward the competitive level and profits will vanish.

d.

POINTS:	1
DIFFICULTY:	Moderate
QUESTION TYPE:	Multiple Choice
HAS VARIABLES:	False
NATIONAL STANDARDS:	United States - BUSPROG: - Analytic United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS:	United States - PA - DISC3: - International trade and finance
TOPICS:	The OPEC Oil Cartel
KEYWORDS:	BLOOM'S: Understand

Figure 7.3. World Oil Market



39. Consider Figure 7.3. Under competitive conditions, the quantity of oil produced equals
    a. 40 barrels.

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b. 70 barrels.
c. 90 barrels.
d. 110 barrels.

ANSWER: d
FEEDBACK:
a.
b.
c.
d. Under competitive conditions, the quantity of oil produced equals 110 barrels.
POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 7.3
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: The OPEC Oil Cartel
KEYWORDS: BLOOM'S: Apply

40. Consider Figure 7.3. Under competitive conditions, the price of a barrel of oil equals
a. $7.
b. $11.
c. $12.
d. $16.

ANSWER: b
FEEDBACK:
a.
b. Under competitive conditions, the price of a barrel of oil equals $11.
c.
d.
POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 7.3
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: The OPEC Oil Cartel
KEYWORDS: BLOOM'S: Apply

41. Consider Figure 7.3. Under competitive conditions, producer profits total
a. $0.
b. $140.
c. $200.

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d. $280.

ANSWER: a

FEEDBACK:

a. Under competitive conditions, producer profits total $0.

b.

c.

d.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 7.3
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: The OPEC Oil Cartel
KEYWORDS: BLOOM'S: Apply

42. Consider Figure 7.3. Under a profit-maximizing cartel, the quantity of oil produced equals

a. 40 barrels.
b. 70 barrels.
c. 90 barrels.
d. 110 barrels.

ANSWER: b

FEEDBACK:

a.

b. Under a profit-maximizing cartel, the quantity of oil produced equals 70 barrels.

c.

d.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 7.3
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: The OPEC Oil Cartel
KEYWORDS: BLOOM'S: Apply

43. Consider Figure 7.3. Under a profit-maximizing cartel, the price of a barrel of oil equals

a. $7.
b. $11.
c. $16.
d. $19.

ANSWER: c

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FEEDBACK:
a.
b.
c. Under a profit-maximizing cartel, the price of a barrel of oil equals $16.
d.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 7.3
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: The OPEC Oil Cartel
KEYWORDS: BLOOM'S: Apply

44. Consider Figure 7.3. Under a profit-maximizing cartel, producers realize
a. profits totaling $280.
b. profits totaling $360.
c. losses totaling $140.
d. losses totaling $180.

ANSWER: a
FEEDBACK:
a. Under a profit-maximizing cartel, producers realize profits totaling $280.
b.
c.
d.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 7.3
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: The OPEC Oil Cartel
KEYWORDS: BLOOM'S: Apply

45. Import substitution policies make use of
a. tariffs that discourage goods from entering a country.
b. quotas applied to goods that are shipped abroad.
c. production subsidies granted to industries with comparative advantages.
d. tax breaks granted to industries with comparative advantages.

ANSWER: a
FEEDBACK:
a. Import substitution involves extensive use of trade barriers to protect domestic industries from import competition. The strategy is inward oriented in that trade and industrial incentives favor production for the domestic market over the export market.

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b.
c.
d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Economic Growth Strategies: Import Substitution Versus Export Led Growth
KEYWORDS: BLOOM'S: Remember

46. Export-led growth tends to
a. exploit domestic comparative advantages.
b. discourage competition in the global economy.
c. lead to unemployment among domestic workers.
d. help firms benefit from diseconomies of large-scale production.

ANSWER: a
FEEDBACK:
a. An export-led growth or export-oriented policy is outward oriented because it links the domestic economy to the world economy. Instead of pursuing growth through the protection of domestic industries suffering comparative disadvantage, the strategy exploits domestic comparative advantages.
b.
c.
d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Economic Growth Strategies: Import Substitution Versus Export Led Growth
KEYWORDS: BLOOM'S: Remember

47. By adhering to an import-substitution policy, which country wound up as a computer-unfriendly nation?
a. Hong Kong
b. South Korea
c. Brazil
d. Singapore

ANSWER: c
FEEDBACK:
a.
b.
c. By adhering to its import-substitution policy, Brazil wound up a largely computer-unfriendly nation. For example, by 1991, only 12 percent of small-

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and medium-sized Brazilian companies were at least partially computerized, and many Brazilian companies postponed modernization because computers could not be imported.

d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Economic Growth Strategies: Import Substitution Versus Export Led Growth
KEYWORDS: BLOOM'S: Remember

48. The characteristics that have underlaid the economic success of the "high-performing Asian Economies" have included all of the following, except

a. high rates of domestic investment.
b. diseconomies of scale occurring at low output levels.
c. large endowments of human capital.
d. high levels of labor productivity.

ANSWER: b
FEEDBACK:

a.
b. The foundation of the growth of high-performing Asian Economies has included high rates of investment, the increasing endowments of an educated workforce, and the use of export-promotion policies.
c.
d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: East Asian Economies
KEYWORDS: BLOOM'S: Understand

49. The development of countries like South Korea and Singapore has been underlaid by all of the following, except

a. high domestic interest rates.
b. R&D and product innovation.
c. education and on-the-job training.
d. high levels of saving and investment.

ANSWER: a
FEEDBACK:

a. The growth of countries like South Korea and Singapore has been underlaid by high rates of saving and investment, education and on-the-job training of the workforce, and R&D and product innovation.
b.

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c.

d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: East Asian Economies
KEYWORDS: BLOOM'S: Understand

50. For most developing countries,
a. productivity is high among domestic workers.
b. population-growth and illiteracy rates are low.
c. saving and investment levels are high.
d. agricultural goods and raw materials constitute much of domestic output.

ANSWER: d
FEEDBACK:
a.
b.
c.
d. For most developing countries, agricultural goods and raw materials constitute much of domestic output.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Trade Problems of the Developing Nations
KEYWORDS: BLOOM'S: Remember

51. Economic growth in India has accelerated because of
a. foreign investment.
b. remaining closed to international trade.
c. investing in machinery.
d. reducing rates of investment.

ANSWER: a
FEEDBACK:
a. India adopted a more open economy that encourages foreign investment; economic growth has accelerated because of that.
b.
c.
d.

POINTS: 1
DIFFICULTY: Moderate

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QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: India: Breaking Out of the Third World
KEYWORDS: BLOOM'S: Understand

52. India switched to an outward-oriented, market-based economy
a. in 1947.
b. in the 1990s.
c. in the late 1980s.
d. in the early 2000s.

ANSWER: b
FEEDBACK:
a.
b. By 1991, policy makers in India realized that their system of state controls and import substitution was strangling the economy and that reforms were needed. The result was a clear switch toward an outward-oriented, market-based economy.
c.
d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: India: Breaking Out of the Third World
KEYWORDS: BLOOM'S: Remember

53. Prior to the formation of OPEC, individual oil-producing nations
a. operated like sellers in a competitive market.
b. behaved like individual sellers in a monopoly market.
c. had considerable control over the price of oil.
d. operated like buyers in a competitive market.

ANSWER: a
FEEDBACK:
a. Prior to OPEC, oil-producing nations behaved like individual competitive sellers. Each nation by itself was so unimportant relative to the overall market that changes in its export levels did not significantly affect international prices over a sustained period of time.
b.
c.
d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice

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HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The OPEC Oil Cartel
KEYWORDS: BLOOM'S: Remember

54. A key factor underlying the instability of primary product prices and export receipts of developing nations is the
a. low price elasticity of the demand of primary products.
b. high price elasticity of the supply of primary products.
c. high price elasticity of the demand of primary products.
d. high price elasticity of the demand and supply of primary products.

ANSWER: a
FEEDBACK:
a. A key factor underlying the instability of primary product prices and export receipts of developing nations is the low price elasticity of the demand of primary products. When the demand for a commodity is highly price inelastic, increases (or decreases) in supply will generate wide variations in price.
b.
c.
d.

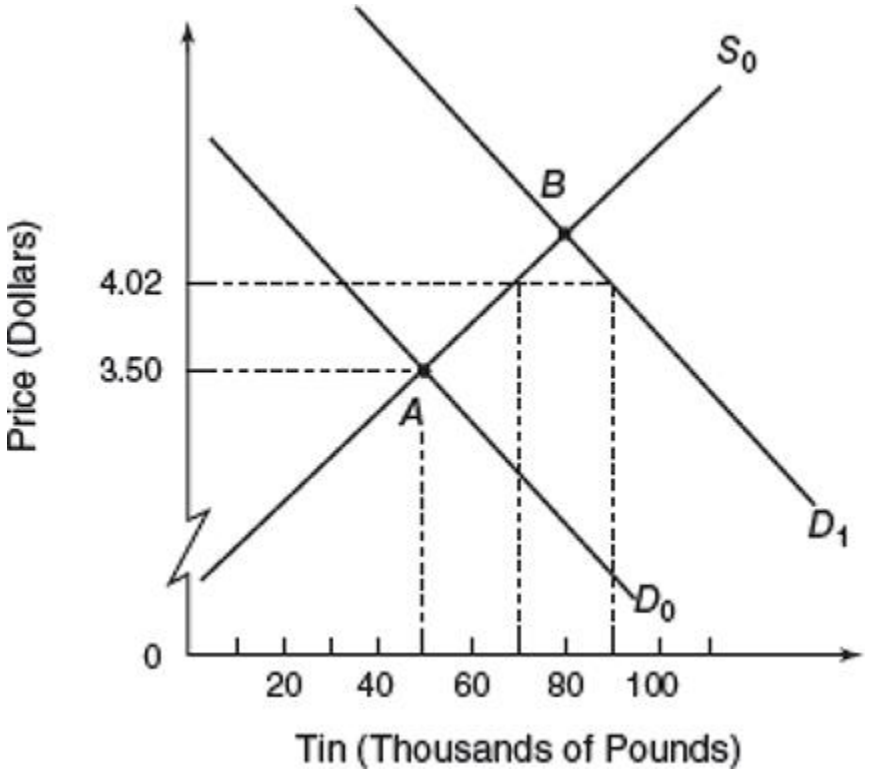
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Trade Problems of the Developing Nations
KEYWORDS: BLOOM'S: Understand

Figure 7.4 Global Market for Tin

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55. Consider the global market for tin represented by Figure 7.4. Initially, equilibrium is at point A with a market price of $3.50 per pound and 50,000 pounds. In order to keep tin price relatively stable, an International Tin Agreement has set a price floor of $3.27 and a ceiling of $4.02. As the demand for tin increases to D_1, how will the buffer-stock manager need to respond?

a. buy 10,000 pounds of tin
b. buy 20,000 pounds of tin
c. sell 10,000 pounds of tin
d. sell 20,000 pounds of tin

ANSWER: d

FEEDBACK:

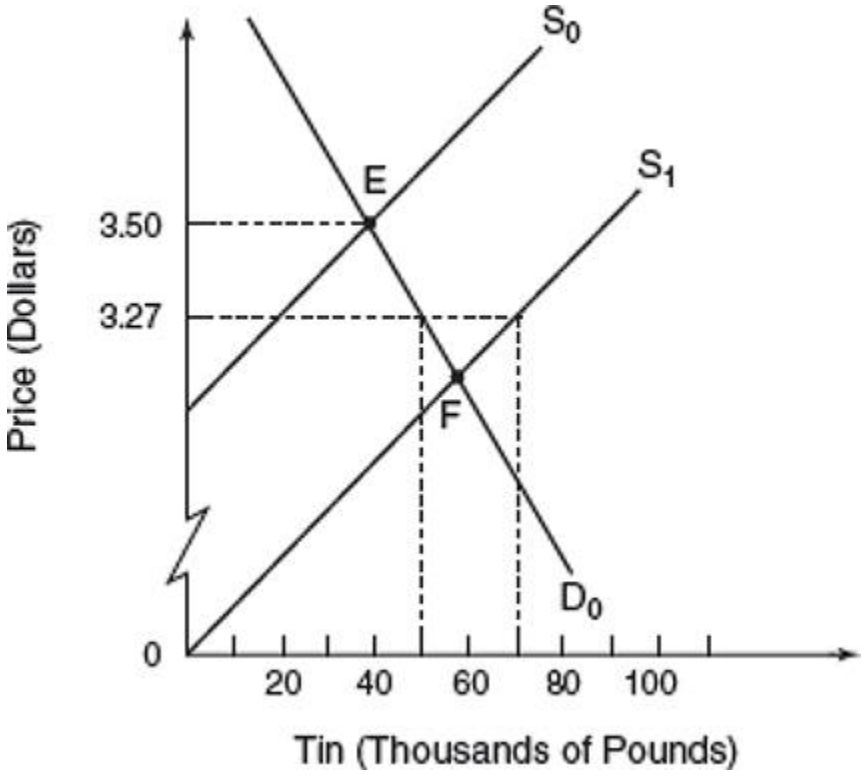
a.
b.
c.
d. During periods of rising tin demand, the buffer-stock manager sells tin to prevent the price from rising above the ceiling level. The buffer-stock manager needs to sell 20,000 pounds of tin.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 7.4
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Stabilizing Primary-Product Prices
KEYWORDS: BLOOM'S: Analyze

Figure 7.5 Global Market for Tin

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56. Figure 7.5 represents the global market for tin. The initial equilibrium price and quantity is at point A. As a result of an International Tin Agreement, a price range of $3.27–$4.02 is set. As the supply of tin increases from S_0 to S_1, the buffer-stock manager will need to

a. buy 10,000 pounds of tin.
b. buy 20,000 pounds of tin.
c. sell 10,000 pounds of tin.
d. sell 20,000 pounds of tin.

ANSWER: b

FEEDBACK:

a.
b. During periods of abundant tin supplies, the manager purchases tin to prevent the price from falling below the floor level. The buffer-stock manager will need to buy 20,000 pounds of tin.
c.
d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 7.5
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: Stabilizing Primary-Product Prices
KEYWORDS: BLOOM'S: Analyze

57. Recent trade patterns indicate that most of world trade occurs

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a. among advanced (industrial) countries.
b. among developing countries.
c. between regional trade blocks, such as NAFTA and the EU.
d. between developing countries and advanced countries.

ANSWER: a
FEEDBACK:
a. Recent trade patterns indicate that most of world trade occurs among advanced (industrial) countries. Trade among developing nations is relatively minor, although it has increased in recent years.
b.
c.
d.
POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Developing Nation Trade Characteristics
KEYWORDS: BLOOM'S: Remember

58. Import substitution is an example of
a. an inward-oriented growth strategy.
b. an outward-oriented growth strategy.
c. the principle of absolute advantage.
d. export led growth.

ANSWER: a
FEEDBACK:
a. The import substitution strategy is inward oriented in that trade and industrial incentives favor production for the domestic market over the export market.
b.
c.
d.
POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Economic Growth Strategies: Import Substitution versus Export-Led Growth
KEYWORDS: BLOOM'S: Remember

59. Outward-oriented growth strategies emphasize
a. the allocation of resources according to the principle of absolute advantage.
b. the allocation of resources according to the principle of comparative advantage.
c. the principle of strategic trade policy.
d. the principle of industrial policy.

ANSWER: b

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FEEDBACK:

a.

b. Export promotion or an export-oriented policy links the domestic economy to the world economy. Instead of pursuing growth through the protection of domestic industries suffering comparative disadvantage, the strategy involves promoting growth through the export of manufactured goods.

c.

d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Economic Growth Strategies: Import Substitution versus Export-Led Growth
KEYWORDS: BLOOM'S: Remember

60. Developing countries tend to export _____ because many of them have large endowments of _____.
a. primary products, natural resources
b. primary products, capital
c. capital goods, advanced technology
d. capital goods, investment funds

ANSWER: a
FEEDBACK:

a. The composition of developing nations' exports has an emphasis on primary products (agricultural goods, raw materials, and fuels), as many of them have large endowments of natural resources.

b.

c.

d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Developing Nation Trade Characteristics
KEYWORDS: BLOOM'S: Remember

61. Import substitution emphasizes decreasing reliance on international trade by
a. developing import-competing industries.
b. adopting free-trade policies.
c. subsidizing efficient exporting industries.
d. reducing import tariffs on labor-intensive goods.

ANSWER: a
FEEDBACK:

a. Import substitution involves extensive use of trade barriers to protect domestic industries from import competition. Its strategy is inward oriented in that trade and industrial incentives favor production for the domestic market, thus decreasing reliance on international trade by developing import-competing

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industries.

b.

c.

d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Economic Growth Strategies: Import Substitution versus Export-Led Growth
KEYWORDS: BLOOM'S: Understand

62. Developing countries often argue that their terms of trade have worsened because
a. their import prices have declined relative to their export prices.
b. their import prices have risen relative to their export prices.
c. their import prices and export prices have increased.
d. their import prices and export prices have decreased.

ANSWER: b
FEEDBACK:

a.

b. Developing nations complain that their commodity terms of trade have deteriorated in the past century or so, suggesting that the prices of their exports relative to their imports have fallen.

c.

d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Trade Problems of the Developing Nations
KEYWORDS: BLOOM'S: Remember

63. Comparing per-capita incomes of many developing countries and industrial countries, we tend to see
a. lower per-capita incomes in industrial countries.
b. lower per-capita incomes in developing countries.
c. identical per-capita incomes in developing countries.
d. identical per-capita incomes in industrial countries.

ANSWER: b
FEEDBACK:

a.

b. There are lower per-capita incomes in developing countries.

c.

d.

POINTS: 1

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DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Introduction
KEYWORDS: BLOOM'S: Remember

64. Comparing life expectancy and adult literacy of developing countries and industrial countries, we tend to see
a. lower life expectancy and higher adult literacy in developing countries.
b. higher life expectancy and lower adult literacy in developing countries.
c. higher life expectancy and higher adult literacy in developing countries.
d. lower life expectancy and lower adult literacy in industrial countries.

ANSWER: d
FEEDBACK:
a.
b.
c.
d. Developing nations tend to be characterized by lower life expectancies and lower levels of adult literacy.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: Introduction
KEYWORDS: BLOOM'S: Remember

65. The trade problems of the developing countries have included all of the following, except
a. unstable export markets.
b. worsening terms of trade.
c. rising prices of primary-product exports.
d. limited export access to the markets of industrial countries.

ANSWER: c
FEEDBACK:
a.
b.
c. Among the alleged problems facing the developing nations are unstable export markets, worsening terms of trade, and limited market access.
d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance

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TOPICS: Trade Problems of the Developing Nations
KEYWORDS: BLOOM'S: Remember

66. Developing countries sometimes encounter the tariff-escalation policies of advanced countries. This means that advanced countries
a. impose higher tariffs on processed products than on primary products.
b. impose higher tariffs on primary products than on processed products.
c. impose identical tariffs on primary products and processed products.
d. allow free trade on primary products and processed products.

ANSWER: a
FEEDBACK:
a. Average tariff rates in advanced countries are low, but they maintain barriers in exactly the areas where developing nations have comparative advantage: agriculture and labor-intensive manufactured goods.
b.
c.
d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Trade Problems of the Developing Nations
KEYWORDS: BLOOM'S: Remember

67. For most developing countries, the majority of their exports consists of
a. capital-intensive agricultural products.
b. capital intensive manufactured products.
c. financial and legal services.
d. primary products.

ANSWER: d
FEEDBACK:
a.
b.
c.
d. Developing nations exports are concentrated in primary products.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Trade Problems of the Developing Nations
KEYWORDS: BLOOM'S: Remember

68. The developing countries tend to reside in all of the following regions, except
a. North America.

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b. Latin America.
c. Africa.
d. the Middle East.

ANSWER: a

FEEDBACK:
a. Developing countries tend to reside in Latin America, Africa, and the Middle East. North America is considered to have advanced (industrial) countries.
b.
c.
d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Introduction
KEYWORDS: BLOOM'S: Remember

69. The advanced (industrial) countries of the world tend to be characterized by all of the following, except
a. relatively high per-capita incomes.
b. relatively long-life expectancies.
c. relatively high levels of adult literacy.
d. relatively high reliance on exports of primary products.

ANSWER: d

FEEDBACK:
a.
b.
c.
d. Advanced nations are characterized by relatively high per-capita incomes, longer life expectancies, and higher levels of adult literacy.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Introduction
KEYWORDS: BLOOM'S: Remember

70. Of the manufactured goods exported by developing countries, most of them are _____ and include _____ of technology in their production.
a. labor intensive, modest amounts
b. labor intensive, large amounts
c. capital intensive, modest amounts
d. capital intensive, large amounts

ANSWER: a

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FEEDBACK:

a. Of the manufactured goods that are exported by developing nations, many (such as textiles) are labor intensive and include only modest amounts of technology in their production.

b.

c.

d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Developing Nation Trade Characteristics
KEYWORDS: BLOOM'S: Remember

71. Developing countries include all of the following, except
a. El Salvador.
b. Vietnam.
c. Canada.
d. India.

ANSWER: c
FEEDBACK:

a.

b.

c. Developing nations are most of those in Africa, Asia, Latin America, and the Middle East. Canada is considered and advanced nation.

d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Introduction
KEYWORDS: BLOOM'S: Remember

72. For Saudi Arabia, oil exports constitute about _____ of its export revenue.
a. 40 percent
b. 55 percent
c. 70 percent
d. 90 percent

ANSWER: d
FEEDBACK:

a.

b.

c.

d. About 90 percent of Saudi Arabia’s export revenues come from oil exports.

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POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Trade Problems of the Developing Nations
KEYWORDS: BLOOM'S: Remember

73. Economists note that instability of the prices of primary products (tin, coffee, copper) is mainly caused by
a. low price elasticity of demand and low price elasticity of supply.
b. low price elasticity of demand and high price elasticity of supply.
c. high price elasticity of demand and low price elasticity of supply.
d. high price elasticity of demand and high price elasticity of supply.

ANSWER: a
FEEDBACK:
a. Economists maintain that a key factor underlying the instability of primary-product prices and producer revenues is the low price elasticity of the demand and supply schedules for commodities.
b.
c.
d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC15: - Elasticity
United States - PA - DISC9: - Supply and demand
TOPICS: Trade Problems of the Developing Nations
KEYWORDS: BLOOM'S: Remember

74. Developing countries often argue that advanced countries protect their farmers with
a. low import tariffs and high export subsidies.
b. high import tariffs and high export subsidies.
c. high import tariffs and low export subsidies.
d. low import tariffs and low export subsidies.

ANSWER: b
FEEDBACK:
a.
b. Developing countries often argue that advanced countries protect their farmers with high import tariffs and high export subsidies. Average tariff rates in advanced countries are low, but they maintain barriers in exactly the areas where developing nations have comparative advantage: agriculture and labor-intensive manufactured goods.
c.
d.

POINTS: 1
DIFFICULTY: Moderate

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QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Trade Problems of the Developing Nations
KEYWORDS: BLOOM'S: Understand

75. A sweatshop includes all of the following, except
a. poor and unsafe working conditions.
b. high wages and benefits for workers.
c. unreasonable hours for workers.
d. child labor.

ANSWER: b
FEEDBACK:
a.
b. A sweatshop is a factory that has poor and unsafe working conditions, unreasonable hours, unfair wages, child labor, and a lack of benefits for workers.
c.
d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC6: - Labor markets
TOPICS: Trade Problems of the Developing Nations
KEYWORDS: BLOOM'S: Remember

76. Efforts to stabilize export prices and revenues include all of the following, except
a. production and export controls.
b. buffer stocks.
c. multilateral contracts.
d. limited market access.

ANSWER: d
FEEDBACK:
a.
b.
c.
d. International commodity agreements have been formed to stabilize the prices and revenues of producers of primary products. The methods used to attain this stability are buffer stocks, export controls, and multilateral contracts.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC4: - Productivity and growth

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TOPICS: Stabilizing Primary-Product Prices
KEYWORDS: BLOOM'S: Remember

77. The ability of OPEC nations to operate as a successful cartel tend to decrease as
a. the number of members of the cartel decline.
b. the cost of production differences among the cartel members rises.
c. the demand for oil rises in the world market.
d. the availability of substitutes for OPEC oil falls.

ANSWER: b
FEEDBACK:
a.
b. When cartel members' costs and product demands differ, it is more difficult to agree on price. Such differences result in a dissimilar profit-maximizing price for each member, so there is no single price that can be agreed upon by all members.
c.
d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The OPEC Oil Cartel
KEYWORDS: BLOOM'S: Remember

78. The mission of the _____ is to provide loans to developing countries to build schools, hospitals, roads, and bridges in order to reduce poverty and stimulate economic development.
a. Bank for International Settlements
b. International Monetary Fund
c. World Trade Organization
d. World Bank

ANSWER: d
FEEDBACK:
a.
b.
c.
d. The World Bank is an international organization that provides loans to developing nations aimed at poverty reduction and economic development.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Aiding the Developing Nations
KEYWORDS: BLOOM'S: Remember

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79. The mission of the _____ is to provide financial assistance to developing countries facing a balance of payments deficits and a financial crisis.

a. Bank for International Settlements
b. International Monetary Fund
c. World Trade Organization
d. World Bank

ANSWER: b

FEEDBACK:

a.
b. The International Monetary Fund can be thought of as a bank for the central banks of member nations. Its mission is to provide financial assistance to developing countries facing a balance of payments deficits and a financial crisis.
c.
d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Aiding the Developing Nations
KEYWORDS: BLOOM'S: Remember

80. Challenges for China's economy include

a. increasing the presence of state-owned enterprises.
b. lowering labor costs that detract from the competitiveness of China's exporting companies.
c. U.S holdings of China’s securities.
d. reliance on investment spending.

ANSWER: d

FEEDBACK:

a.
b.
c.
d. A challenge for China concerns its overreliance on investment and underreliance on consumption. Chinese officials know that a rebalancing is needed because the substantial increases in investment that have fueled China’s robust economic growth for the past three decades are not sustainable.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC16: - Measuring the economy
TOPICS: China's Great Leap Forward
KEYWORDS: BLOOM'S: Remember

81. Developing countries that emphasize production in raw materials and agricultural goods may realize a long-run decline in their international terms of trade as the result of

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a. an inelastic demand for these products in advanced countries.
b. a sizable decrease in the amount of these products supplied to the world market.
c. an increased demand for these products in advanced countries.
d. an elastic demand for these products in advanced countries.

ANSWER: a

FEEDBACK:
a. Developing countries that emphasize production in raw materials and agricultural goods may realize a long-run decline in their international terms of trade as the result of an inelastic demand for these products in advanced countries.
b.
c.
d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Trade Problems of the Developing Nations
KEYWORDS: BLOOM'S: Understand

82. Developing countries often argue that their
a. efforts to industrialize are encouraged.
b. export prices and revenues are very stable.
c. terms of trade have improved over time.
d. efforts to industrialize are discouraged.

ANSWER: d

FEEDBACK:
a.
b.
c.
d. Developing countries argue that the protectionist trading policies of advanced nations hinder the industrialization of many developing nations.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Trade Problems of the Developing Nations
KEYWORDS: BLOOM'S: Understand

83. Which of the following has resulted in the economic instability of developing countries?
a. a fall in the prices of natural resources of developing countries
b. a rise in the prices of natural resources of developing countries
c. a rise in the labor productivity of developing countries
d. a rise in the rate of saving of developing countries

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ANSWER: a

FEEDBACK:

a. In some developing nations, exports are concentrated in only one or a few primary products. A fall in the prices of that product can significantly reduce export revenues and seriously disrupt domestic income and employment levels.

b.

c.

d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC16: - Measuring the economy
TOPICS: Trade Problems of the Developing Nations
KEYWORDS: BLOOM'S: Remember

84. Developing countries tend to have all of the following, except
a. high rates of population growth.
b. low levels of per-capita income.
c. high levels of labor productivity.
d. a high percentage of the labor force in agriculture.

ANSWER: c

FEEDBACK:

a.

b.

c. Developing nations tend to be characterized by relatively low levels of per-capita income, high rates of population growth, and a high percentage of the labor force in agriculture.

d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC16: - Measuring the economy
TOPICS: Developing Nation Trade Characteristics
KEYWORDS: BLOOM'S: Remember

85. One factor that discourages economic growth in developing countries is
a. an increase in the level of literacy among adults.
b. a limited supply of capital goods and technology.
c. a shortage of land.
d. excessive amounts of public infrastructure.

ANSWER: b

FEEDBACK:

a.

b. One requirement for economic development in a low-income economy is an increase in the nation’s stock of capital and technology.

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c.

d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC4: - Productivity and growth
TOPICS: Trade Problems of the Developing Nations
KEYWORDS: BLOOM'S: Remember

86. The developing nations are most of those in Africa, Asia, North America, and Western Europe.

a. True

b. False

ANSWER: False
FEEDBACK: *Correct*
Incorrect The developing nations are most of those in Africa, Asia, Latin America, and the Middle East.
POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Introduction
KEYWORDS: BLOOM'S: Remember

87. Most developing-nation exports go to industrial nations, while most developing-nation imports originate in industrial nations.

a. True

b. False

ANSWER: True
FEEDBACK: *Correct* Developing nations are highly dependent on advanced nations. A majority of developing nations' exports goes to the advanced nations, and most developing nations' imports originate in advanced nations.
Incorrect
POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Developing Nations Trade Characteristics
KEYWORDS: BLOOM'S: Remember

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88. The majority of developing-nation exports are primary products, such as agricultural goods and raw materials; of the manufactured goods exported by developing nations, most are labor-intensive goods.

a. True

b. False

ANSWER: True

FEEDBACK:

Correct Developing nations' exports have an emphasis on primary products (agricultural goods, raw materials, and fuels). Of the manufactured goods that are exported by developing nations, many (such as textiles) are labor intensive and include only modest amounts of technology in their production.

Incorrect

POINTS: 1

DIFFICULTY: Easy

QUESTION TYPE: True / False

HAS VARIABLES: False

NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking

STATE STANDARDS: United States - PA - DISC3: - International trade and finance

TOPICS: Developing Nations Trade Characteristics

KEYWORDS: BLOOM'S: Remember

89. Developing nations overwhelmingly acknowledge that they have benefited from international trade according to the principle of comparative advantage.

a. True

b. False

ANSWER: False

FEEDBACK:

Correct

Incorrect Many developing nations believe that the current international trading system, based on the principle of comparative advantage, is irrelevant for them. Among the alleged problems facing the developing nations are unstable export markets, worsening terms of trade, and limited market access.

POINTS: 1

DIFFICULTY: Moderate

QUESTION TYPE: True / False

HAS VARIABLES: False

NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking

STATE STANDARDS: United States - PA - DISC3: - International trade and finance

TOPICS: Developing Nations Trade Characteristics

KEYWORDS: BLOOM'S: Understand

90. Among the economic problems facing developing countries have been dependence on primary-product exports, unstable export markets, and worsening terms of trade.

a. True

b. False

ANSWER: True

FEEDBACK:

Correct Among the problems facing the developing nations are unstable export markets, worsening terms of trade, limited market access, and a dependence on primary-product exports.

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Incorrect

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Trade Problems of the Developing Nations
KEYWORDS: BLOOM'S: Understand

91. For developing countries, a key factor underlying the instability of primary-product prices and export receipts is the high price elasticity of demand for products such as tin and copper.

a. True
b. False

ANSWER: False
FEEDBACK: *Correct*
Incorrect Economists maintain that a key factor underlying the instability of primary-product prices and producer revenues is the low price elasticity of the demand and supply schedules for commodities.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Trade Problems of the Developing Nations
KEYWORDS: BLOOM'S: Understand

92. Empirical research indicates that the demand and supply schedules for most primary products are relatively inelastic to changes in price.

a. True
b. False

ANSWER: True
FEEDBACK: *Correct* Economists maintain that a key factor underlying the instability of primary-product prices and producer revenues is the low price elasticity of the demand and supply schedules for commodities.
Incorrect

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
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STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Trade Problems of the Developing Nations

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KEYWORDS: BLOOM'S: Understand

93. If the demand for coffee is price inelastic, an increase in the supply of coffee leads to falling prices and rising sales revenues.

a. True

b. False

ANSWER: False

FEEDBACK:
Correct
Incorrect When the demand for a commodity is highly price inelastic, increases in supply will generate a substantial drop in price and a fall in producer revenues.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Trade Problems of the Developing Nations
KEYWORDS: BLOOM'S: Understand

94. Not only do changes in demand induce relatively wide fluctuations in price when supply is inelastic, but changes in supply also induce relatively wide fluctuations in price when demand is inelastic.

a. True

b. False

ANSWER: True

FEEDBACK:
Correct When the supply of a commodity is highly price inelastic, decreases (or increases) in demand will generate wide variations in price. When the demand for a commodity is highly price inelastic, increases (or decreases) in supply will generate wide variations in price.
Incorrect

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Trade Problems of the Developing Nations
KEYWORDS: BLOOM'S: Understand

95. Developing countries complain that because their commodity terms of trade have deteriorated in recent decades, they should receive preferential tariff treatment from industrialized countries.

a. True

b. False

ANSWER: True

FEEDBACK:
Correct Worsening terms of trade have been used to justify the refusal of many developing nations to participate in trade liberalization negotiations. It also underlies developing nations' demands for preferential treatment in trade

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relations with advanced nations.

Incorrect

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Trade Problems of the Developing Nations
KEYWORDS: BLOOM'S: Understand

96. To promote stability in commodity markets, international commodity agreements have utilized production and export controls, buffer stocks, and multilateral contracts.

a. True
b. False

ANSWER: True
FEEDBACK: *Correct* International commodity agreements have been formed to stabilize the prices and revenues of producers of primary products. The methods used to attain this stability are buffer stocks, export controls, and multilateral contracts.

Incorrect

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Stabilizing Primary-Product Prices
KEYWORDS: BLOOM'S: Remember

97. During periods of falling demand for coffee, an international commodity agreement could offset downward pressure on price by implementing policies to increase the supply of coffee.

a. True
b. False

ANSWER: False
FEEDBACK: *Correct*

Incorrect During periods of falling demand for coffee, an international commodity agreement could offset downward pressure on price by implementing policies to decrease the supply of coffee.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
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STATE STANDARDS: United States - PA - DISC3: - International trade and finance

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TOPICS: Stabilizing Primary-Product Prices
KEYWORDS: BLOOM'S: Apply

98. To prevent the market price of tin from rising above the target price, the manager of a buffer stock will purchase excess supplies of tin from the market.

a. True
b. False

ANSWER: False
FEEDBACK: *Correct*
Incorrect During periods of rising tin demand, the buffer-stock manager sells tin to prevent the price from rising above the ceiling level.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Stabilizing Primary-Product Prices
KEYWORDS: BLOOM'S: Apply

99. To prevent the market price of tin from falling below the target price, the manager of a buffer stock would purchase any excess supply of tin that exists at the target price.

a. True
b. False

ANSWER: True
FEEDBACK: *Correct* During periods of abundant tin supplies, the manager purchases tin to prevent the price from falling below the floor level.
Incorrect
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Stabilizing Primary-Product Prices
KEYWORDS: BLOOM'S: Apply

100. Prolonged defense of a price ceiling tends to increase the supply of a commodity held by a buffer-stock manager, thus putting downward pressure on price.

a. True
b. False

ANSWER: False
FEEDBACK: *Correct*
Incorrect During periods of rising tin demand, the buffer-stock manager sells tin to prevent the price from rising above the ceiling level. Prolonged defense of the ceiling

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price may result in depletion of the tin stockpile, which undermines the effectiveness of this price-stabilization tool and lends to an upward revision of the ceiling price.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Stabilizing Primary-Product Prices
KEYWORDS: BLOOM'S: Understand

101. Rather than conduct massive stabilization operations, buffer-stock officials will periodically revise target prices should they move out of line with long-term price trends.

a. True
b. False

ANSWER: True
FEEDBACK:
Correct Because of costs, rather than conduct massive stabilization operations, buffer-stock officials will periodically revise target prices should they fall out of line with long-term price trends.
Incorrect
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Stabilizing Primary-Product Prices
KEYWORDS: BLOOM'S: Understand

102. A multilateral contract stipulates the maximum price at which importing nations will purchase guaranteed quantities from producing nations and the minimum price at which producing nations will sell guaranteed amounts to importing nations.

a. True
b. False

ANSWER: False
FEEDBACK:
Correct
Incorrect Multilateral contracts are another method of stabilizing commodity prices. Such contracts generally stipulate a minimum price at which importers will purchase guaranteed quantities from the producing nations and a maximum price at which producing nations will sell guaranteed amounts to the importers.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic

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STATE STANDARDS:	United States - PA - DISC3: - International trade and finance
TOPICS:	Stabilizing Primary-Product Prices
KEYWORDS:	BLOOM'S: Understand

103. It is widely agreed that import-substitution policies have been a main contributor to above-average growth rates in developing countries.

a. True

b. False

ANSWER:	False
FEEDBACK:	*Correct*
	Incorrect Nations emphasizing export promotion have tended to realize higher rates of economic growth than nations emphasizing import-substitution policies.
POINTS:	1
DIFFICULTY:	Easy
QUESTION TYPE:	True / False
HAS VARIABLES:	False
NATIONAL STANDARDS:	United States - BUSPROG: - Analytic United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS:	United States - PA - DISC3: - International trade and finance
TOPICS:	Economic Growth Strategies: Import Substitution Versus Export Led Growth
KEYWORDS:	BLOOM'S: Remember

104. Under the generalized system of preferences program, the major industrial countries agree to temporarily reduce tariffs on designated imports from other industrial countries.

a. True

b. False

ANSWER:	False
FEEDBACK:	*Correct*
	Incorrect Many advanced nations have extended nonreciprocal tariff preferences to exports of developing nations. Under this generalized system of preferences (GSP), major advanced nations temporarily reduce tariffs on designated manufactured imports from developing nations below the levels applied to imports from other advanced nations.
POINTS:	1
DIFFICULTY:	Moderate
QUESTION TYPE:	True / False
HAS VARIABLES:	False
NATIONAL STANDARDS:	United States - BUSPROG: - Analytic United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS:	United States - PA - DISC3: - International trade and finance
TOPICS:	Aiding the Developing Nations
KEYWORDS:	BLOOM'S: Understand

105. The "newly industrializing countries" of East Asia have emphasized the implementation of import-substitution policies to insulate their industries from international competition.

a. True

b. False

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ANSWER: False
FEEDBACK: *Correct*
Incorrect The East Asian economies pursue an industrialization policy of outward orientation and export promotion.
POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: East Asian Economies
KEYWORDS: BLOOM'S: Remember

106. In recent decades, the East Asian "newly industrializing countries" have pursued export-led growth (outward orientation) as an industrialization strategy.

a. True
b. False

ANSWER: True
FEEDBACK: *Correct* The East Asian economies pursue an industrialization policy of outward orientation and export promotion.
Incorrect
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: East Asian Economies
KEYWORDS: BLOOM'S: Understand

107. The purpose of a cartel is to support prices higher than would occur under more competitive conditions, thus increasing the profits of cartel members.

a. True
b. False

ANSWER: True
FEEDBACK: *Correct* A cartel attempts to support prices higher than they would be under more competitive conditions, thus increasing the profits of its members.
Incorrect
POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance

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TOPICS: The OPEC Oil Cartel
KEYWORDS: BLOOM'S: Remember

108. A cartel tends to be most successful in maximizing the profits of its members when there are many producers in the cartel, and these producers' cost and demand conditions greatly differ from each other.

a. True
b. False

ANSWER: False
FEEDBACK:
Correct
Incorrect The larger the number of sellers, the more difficult it is to form a cartel. When cartel members' costs and product demands differ, it is more difficult to agree on price. Such differences result in a dissimilar profit-maximizing price for each member, so there is no single price that can be agreed upon by all members.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The OPEC Oil Cartel
KEYWORDS: BLOOM'S: Understand

109. When cartel members agree to restrict output to increase the price of their product, a single member of the cartel has an economic incentive to violate the agreement by increasing its output in order to increase profits.

a. True
b. False

ANSWER: True
FEEDBACK:
Correct Each supplier has the incentive to sell more than its assigned quota at the cartel price. If one producer cheats on the cartel agreement by decreasing its price and increasing its output, then the rational action of the other producers is to decrease their price as well.
Incorrect
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The OPEC Oil Cartel
KEYWORDS: BLOOM'S: Understand

110. Developing countries have often felt that it is easier to protect their manufacturers, via import-substitution policies, against foreign competitors than to force industrial nations to reduce trade restrictions on products exported by developing countries.

a. True
b. False

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ANSWER: True

FEEDBACK:
Correct Import substitution involves extensive use of trade barriers to protect domestic industries from import competition. Developing countries have often felt that it is easier to protect their manufacturers, via import-substitution policies, against foreign competitors than to force industrial nations to reduce trade restrictions on products exported by developing countries.
Incorrect

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Economic Growth Strategies: Import Substitution Versus Export Led Growth
KEYWORDS: BLOOM'S: Understand

111. Import-substitution policies are supported by the fact that many developing countries have small domestic markets and thus their producers enjoy the benefits of diseconomies of small-scale production.

a. True
b. False

ANSWER: False

FEEDBACK:
Correct
Incorrect The rationale for import substitution arises from the developing nations' perspective on trade. Many developing nations feel that they cannot export manufactured goods because they cannot compete with established firms of the advanced nations, especially in view of the high trade barriers maintained by advanced nations.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Economic Growth Strategies: Import Substitution Versus Export Led Growth
KEYWORDS: BLOOM'S: Understand

112. Export-led growth industrialization suffers a major problem: It depends on the willingness and ability of foreign nations to absorb the goods exported by the country pursuing such a policy.

a. True
b. False

ANSWER: True

FEEDBACK:
Correct Export-led growth industrialization suffers a major problem: It depends on the willingness and ability of foreign nations to absorb the goods exported by the country pursuing such a policy.
Incorrect

POINTS: 1

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DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Economic Growth Strategies: Import Substitution Versus Export Led Growth
KEYWORDS: BLOOM'S: Understand

113. After gaining independence from Britain in 1947, India began practicing socialism and adopted an import-substitution model to run its economy.

a. True
b. False

ANSWER: True
FEEDBACK:
Correct After gaining independence from Britain in 1947, India began practicing socialism and adopted an import-substitution model to run its economy. Both of these resulted from India's fear of imperialism of any kind following its independence.
Incorrect
POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: India: Breaking Out of the Third World
KEYWORDS: BLOOM'S: Remember

114. By the 1990s, China had departed from a capitalistic economy and shifted to a Soviet-type economy encompassing small-scale, labor-intensive industry.

a. True
b. False

ANSWER: False
FEEDBACK:
Correct
Incorrect By the 1990s, China had become a high-performing Asian economy. Today, China describes itself as a socialist market economy.
POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: China's Great Leap Forward
KEYWORDS: BLOOM'S: Remember

115. By the 1990s, China dismantled much of its centrally planned economy and permitted free enterprise to replace it.

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a. True
b. False

ANSWER: True

FEEDBACK:
Correct By the 1990s, China had dismantled much of its centrally planned economy and permitted free enterprise to replace it.
Incorrect

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: China’s Great Leap Forward
KEYWORDS: BLOOM'S: Remember

116. In its transition toward capitalism, China permits free enterprise as well as democracy for its people.
a. True
b. False

ANSWER: False

FEEDBACK:
Correct
Incorrect Although China has dismantled much of its centrally planned economy and permitted free enterprise to replace it, political freedoms have not increased.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: China’s Great Leap Forward
KEYWORDS: BLOOM'S: Remember

117. Most of China's manufactured exports have constituted labor-intensive goods.
a. True
b. False

ANSWER: True

FEEDBACK:
Correct Being heavily endowed with labor, China specializes in many labor intensive products.
Incorrect

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
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STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: China’s Great Leap Forward
KEYWORDS: BLOOM'S: Remember

118. East Asian economies have followed a “flying geese” pattern of economic growth.
a. True
b. False
ANSWER: True
FEEDBACK: *Correct* It is widely recognized that East Asian economies have followed a “flying geese” pattern of economic growth in which nations gradually move up in technological development by following in the pattern of nations ahead of them in the development process.
Incorrect
POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: East Asian Economies
KEYWORDS: BLOOM'S: Remember

119. A multilateral contract specifies the maximum price at which exporting countries agree to sell a product and the minimum price at which importing countries agree to buy a product.
a. True
b. False
ANSWER: True
FEEDBACK: *Correct* Multilateral contracts are another method of stabilizing commodity prices. Such contracts generally stipulate a minimum price at which importers will purchase guaranteed quantities from the producing nations and a maximum price at which producing nations will sell guaranteed amounts to the importers.
Incorrect
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Stabilizing Primary-Product Prices
KEYWORDS: BLOOM'S: Remember

120. As a profit-maximizing cartel, OPEC would produce a greater output and charge a lower price than would occur in a competitive market.
a. True
b. False
ANSWER: False

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FEEDBACK: *Correct*

Incorrect OPEC has used production quotas to support prices and earnings above what could be achieved in more competitive conditions.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The OPEC Oil Cartel
KEYWORDS: BLOOM'S: Remember

121. The success of buffer stocks is limited by the fact that stockpiles of a product may be exhausted after prolonged sales, while funds may be exhausted after prolonged purchases.

a. True
b. False

ANSWER: True
FEEDBACK: *Correct* During periods of rising tin demand, the buffer-stock manager sells tin to prevent the price from rising above the ceiling level. Prolonged defense of the ceiling price may result in depletion of the tin stockpile, which undermines the effectiveness of this price-stabilization tool and lends to an upward revision of the ceiling price.

Incorrect

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Stabilizing Primary-Product Prices
KEYWORDS: BLOOM'S: Understand

122. The United Nations Conference on Trade and Development in 1967 established the World Bank and the International Monetary Fund.

a. True
b. False

ANSWER: False
FEEDBACK: *Correct*

Incorrect The World Bank and the International Monetary Fund were established at the United Nations Monetary and Financial Conference held at Bretton Woods, New Hampshire, in July 1944.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic

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	United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS:	United States - PA - DISC3: - International trade and finance
TOPICS:	Aiding the Developing Nations
KEYWORDS:	BLOOM'S: Understand

123. Under the generalized system of preferences program, the industrialized countries agree to maintain lower tariffs on imports of natural resources and higher tariffs on imports of manufactured goods.

a. True

b. False

ANSWER:	False
FEEDBACK:	*Correct*
	Incorrect Many advanced nations have extended nonreciprocal tariff preferences to exports of developing nations. Under this generalized system of preferences (GSP), major advanced nations temporarily reduce tariffs on designated manufactured imports from developing nations below the levels applied to imports from other advanced nations.
POINTS:	1
DIFFICULTY:	Moderate
QUESTION TYPE:	True / False
HAS VARIABLES:	False
NATIONAL STANDARDS:	United States - BUSPROG: - Analytic United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS:	United States - PA - DISC3: - International trade and finance
TOPICS:	Aiding the Developing Nations
KEYWORDS:	BLOOM'S: Understand

124. The replacement of imports of one nation with imports of another nation is known as import substitution.

a. True

b. False

ANSWER:	False
FEEDBACK:	*Correct*
	Incorrect Import substitution involves extensive use of trade barriers to protect domestic industries from import competition. The import substitution strategy favors production for the domestic market over the export market.
POINTS:	1
DIFFICULTY:	Moderate
QUESTION TYPE:	True / False
HAS VARIABLES:	False
NATIONAL STANDARDS:	United States - BUSPROG: - Analytic United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS:	United States - PA - DISC3: - International trade and finance
TOPICS:	Economic Growth Strategies: Import Substitution Versus Export Led Growth
KEYWORDS:	BLOOM'S: Remember

125. During periods of weak demand, OPEC has implemented production (export) quotas to ensure that excess oil supplies be kept off the market.

a. True

b. False

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ANSWER: True

FEEDBACK:
Correct Economic downturn is generally problematic for cartels. As market sales dwindle in a weakening economy, profits fall. During periods of weak demand, OPEC has implemented production (export) quotas to ensure that excess oil supplies be kept off the market.
Incorrect

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The OPEC Oil Cartel
KEYWORDS: BLOOM'S: Remember

126. Many developing countries contend that they face worsening terms of trade because the prices they receive for exports have increased, while the prices they pay for imports have decreased.

a. True
b. False

ANSWER: False

FEEDBACK:
Correct
Incorrect Developing nations complain that their commodity terms of trade have deteriorated in the past century or so, suggesting that the prices of their exports relative to their imports have fallen.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Trade Problems of the Developing Nations
KEYWORDS: BLOOM'S: Remember

127. Evidence shows that the largest amount of trade occurs between developing countries.

a. True
b. False

ANSWER: False

FEEDBACK:
Correct
Incorrect Recent trade patterns indicate that most of world trade occurs among advanced (industrial) countries.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance

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TOPICS: Developing Nation Trade Characteristics
KEYWORDS: BLOOM'S: Remember

128. Import substitution decreases reliance on international trade by fostering export-competing industries.

a. True
b. False

ANSWER: False
FEEDBACK: *Correct*
Incorrect Import substitution involves extensive use of trade barriers to protect domestic industries from import competition. The import substitution strategy is inward oriented in that trade and industrial incentives favor production for the domestic market over the export market.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Economic Growth Strategies: Import Substitution versus Export-Led Growth
KEYWORDS: BLOOM'S: Understand

129. Along the "ladder of economic development," Canada and Germany would be located along the higher steps, while Ecuador and Venezuela would be located along the lower steps.

a. True
b. False

ANSWER: True
FEEDBACK: *Correct* Think of the world economy as a ladder. On the bottom rungs are developing nations (Ecuador and Venezuela), toward the top are advanced nations (Canada and Germany).
Incorrect
POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC16: - Measuring the economy
TOPICS: Tensions between Developing Nations and Advanced Nations
KEYWORDS: BLOOM'S: Apply

130. A sweatshop is a factory that has poor and unsafe working conditions, unreasonable hours for workers, low wages and benefits, and child labor.

a. True
b. False

ANSWER: True
FEEDBACK: *Correct* A sweatshop is a factory that has poor and unsafe working conditions, unreasonable hours, unfair wages, child labor, and a lack of benefits for workers.
Incorrect

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POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC6: - Labor markets
TOPICS: Trade Problems of the Developing Nations
KEYWORDS: BLOOM'S: Remember

131. The Fair Trade Movement attempts to help poor coffee growers in developing countries by providing them higher prices for their coffee beans.

a. True
b. False

ANSWER: True
FEEDBACK:
Correct The objective of the fair-trade coffee movement is to increase the income of poor farmers in developing nations by implementing a system by which the farmers can sell their beans directly to roasters and retailers, bypassing the traditional practice of selling to middlemen in their own nations. This arrangement permits farmers to earn a higher price for their beans.
Incorrect
POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC4: - Productivity and growth
TOPICS: Stabilizing Primary-Product Prices
KEYWORDS: BLOOM'S: Remember

132. Recent technological advances in oil production such as hydraulic fracturing and horizontal drilling have threatened the market share and profitability of the OPEC nations.

a. True
b. False

ANSWER: True
FEEDBACK:
Correct U.S. crude oil production has dramatically risen as hydraulic fracturing and other technologies have unlocked large resources of oil previously trapped in shale rock in North Dakota and Texas. This threatens the market share and profitability of the OPEC nations.
Incorrect
POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The OPEC Oil Cartel
KEYWORDS: BLOOM'S: Remember

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133. According to the generalized system of preferences of the United States, exports from developing countries face higher import tariff rates than exports from industrialized countries.

a. True

b. False

ANSWER: False

FEEDBACK:

Correct

Incorrect Many advanced nations have extended nonreciprocal tariff preferences to exports of developing nations. Under this generalized system of preferences (GSP), major advanced nations temporarily reduce tariffs on designated manufactured imports from developing nations below the levels applied to imports from other advanced nations.

POINTS: 1

DIFFICULTY: Easy

QUESTION TYPE: True / False

HAS VARIABLES: False

NATIONAL STANDARDS: United States - BUSPROG: - Analytic

STATE STANDARDS: United States - PA - DISC3: - International trade and finance

TOPICS: Aiding the Developing Nations

KEYWORDS: BLOOM'S: Remember

134. Import substitution policies seek to promote industrialization by establishing barriers to foreign goods to encourage domestic production.

a. True

b. False

ANSWER: True

FEEDBACK:

Correct Import substitution involves extensive use of trade barriers to protect domestic industries from import competition. The import substitution strategy is inward oriented in that trade and industrial incentives favor production for the domestic market over the export market.

Incorrect

POINTS: 1

DIFFICULTY: Easy

QUESTION TYPE: True / False

HAS VARIABLES: False

NATIONAL STANDARDS: United States - BUSPROG: - Analytic

STATE STANDARDS: United States - PA - DISC3: - International trade and finance

TOPICS: Economic Growth Strategies: Import Substitution versus Export-Led Growth

KEYWORDS: BLOOM'S: Remember

135. Import substitution policies have been highly successful in fostering employment in new, emerging industries because these policies prevent the import of foreign capital goods.

a. True

b. False

ANSWER: False

FEEDBACK:

Correct

Incorrect Empirical studies appeared to suggest that developing countries that adopted freer trade policies tended to grow faster than those that adopted protectionist policies.

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POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Economic Growth Strategies: Import Substitution versus Export-Led Growth
KEYWORDS: BLOOM'S: Understand

136. Export promotion policies attempt to encourage production of goods for sale overseas, which fosters additional export revenues; import substitution policies attempt to replace imported goods with domestic production.

a. True
b. False

ANSWER: True
FEEDBACK: *Correct* Export promotion or an export-oriented policies attempt to encourage production of goods for sale overseas, which fosters additional export revenues; import substitution policies attempt to replace imported goods with domestic production.
Incorrect
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Economic Growth Strategies: Import Substitution versus Export-Led Growth
KEYWORDS: BLOOM'S: Understand

137. Import substitution policy tends to be anti-trade, while outward looking development is pro-trade.

a. True
b. False

ANSWER: True
FEEDBACK: *Correct* Import substitution involves extensive use of trade barriers to protect domestic industries from import competition. Export promotion or an export-oriented policies attempt to encourage production of goods for sale overseas.
Incorrect
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Economic Growth Strategies: Import Substitution versus Export-Led Growth
KEYWORDS: BLOOM'S: Understand

138. What are some major trade problems faced by developing nations?

ANSWER: Trade problems include lack of diversification of economies, unstable export markets, declining terms of trade over time, and lack of access to markets of advanced countries.

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POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Subjective Short Answer
HAS VARIABLES: False
STUDENT ENTRY MODE: Basic
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Trade Problems of the Developing Nations
KEYWORDS: BLOOM'S: Understand

139. Are economic downturns helpful to cartels?
ANSWER: No, they are generally problematic for cartels. As market sales dwindle in a weakening economy, profits fall. Cartel members may conclude that they can escape serious decreases in profits by reducing prices, in the expectation of gaining sales at the expense of other cartel members.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Subjective Short Answer
HAS VARIABLES: False
STUDENT ENTRY MODE: Basic
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The OPEC Oil Cartel
KEYWORDS: BLOOM'S: Understand

140. What are some of the growth strategies that have been employed by the developing nations? How successful are these strategies?
ANSWER: Besides attempting to stabilize commodity prices, developing nations have promoted internal industrialization through policies of import substitution and export promotion. Countries emphasizing export promotion have tended to realize higher rates of economic growth than countries emphasizing import-substitution policies.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Essay
HAS VARIABLES: False
STUDENT ENTRY MODE: Basic
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Economic Growth Strategies: Import Substitution Versus Export Led Growth
KEYWORDS: BLOOM'S: Understand

141. Describe the flying-geese pattern of economic growth. What countries have pursued this strategy?
ANSWER: It is widely recognized that East Asian economies have followed the flying-geese pattern of growth. This pattern of growth occurs when countries gradually move up in technological development by following in the pattern of countries ahead of them in the

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development process. For example, Malaysia and Taiwan take over leadership in apparel and textiles from Japan as Japan moves into higher-technology sectors of automotive and electronic products.

POINTS:	1
DIFFICULTY:	Moderate
QUESTION TYPE:	Essay
HAS VARIABLES:	False
STUDENT ENTRY MODE:	Basic
NATIONAL STANDARDS:	United States - BUSPROG: - Analytic United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS:	United States - PA - DISC3: - International trade and finance
TOPICS:	East Asian Economies
KEYWORDS:	BLOOM'S: Understand

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